Q3 2024

Custom Managed Portfolios

QV Investors Inc.

Small Cap

Quick facts

Asset class:
Canadian Small-Mid Cap

Management style:
GARP[1]

Number of holdings:
39

Sub-advisor:
QV Investors Inc.

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
January 1, 1997

aviso wealth

What does the strategy invest in?

This strategy will mostly invest in equities of Canadian small to mid capitilization companies. The mandate also allows for a very limited exposure to US equities. QV adheres to strict Socially Responsible Investing (RI) principles when it selects securities for this mandate.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	7.97%	13.36%	24.10%	9.83%	12.26%	8.35%	11.29%
Benchmark[5]	8.45%	17.11%	23.39%	4.78%	11.05%	5.97%	6.29%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	13.16%	0.60%	25.96%	4.23%	17.44%	- 9.10%	4.54%
Benchmark[5]	4.70%	- 9.22%	24.79%	14.42%	19.20%	-18.17%	6.38%

Standard deviation	9.25%	Sortino ratio	1.26	Downside capture	75%
Sharpe ratio	1.05	Beta (Equity)	0.61	Upside capture	43%

Largest holdings

1. CDN WSTN BK 6.2%
2. WINPAK LTD 4.8%
3. ALTAGAS LTD 4.5%
4. IA FINANCIAL CORP INC 4.2%
5. INFORMATION SERVICES 3.8%
6. DEFINITY FINL CORP 3.7%
7. SECURE ENERGY SERVICES INC 3.6%
8. EL FNCL CORP LTD 3.5%
9. MULLEN GROUP LTD 3.4%
10. LASSONDE INDS INC CL A 3.3%

Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.56%	17.96	14.63	1.77	4.81	$ 3.37 B	26%

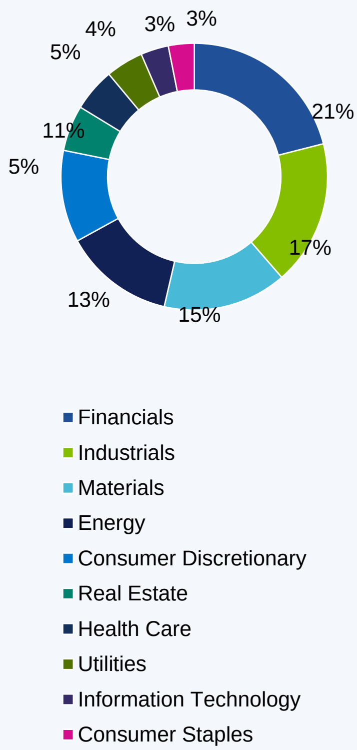
Target allocations

Asset class	Min	Target	Current	Max
Canadian equities	70%	98%	97.7%	100%
US equities	0%	0%	0.7%	10%
Cash & cash equivalents	0%	2%	1.6%	20%

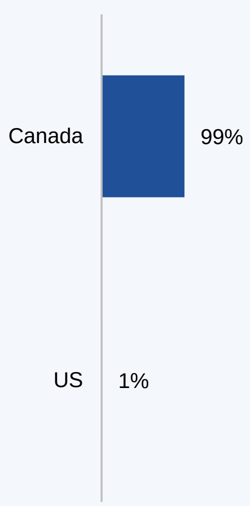
■ Target □ Current

Q3 2024

Sector breakdown



Geographic allocation



Quarterly commentary

Despite the mid-summer volatility and scare regarding weakening economic conditions, the market continued its upward march during the reporting period, supported by easing financial conditions. The Bank of Canada has continued its trajectory of interest rate easing with three quarter-point cuts so far and is now joined by other central banks, most notably the US. With the Bank of Canada target rate still at 4.25%, there is ample monetary stimulus firepower remaining to counteract weakening macroeconomic conditions as long as inflation continues to remain in check. Concerns about a weaker economy contributed to lower crude oil prices but this has partly reversed recently as the war in the Middle East escalates. Over the quarter, the Canadian small cap benchmark had negative returns in energy and utilities and double-digit gains in communication services, real estate, consumer staples, and materials. The strategy outperformed in financials, energy, and consumer discretionary, and underperformed in materials, industrials, and real estate.

The strategy's top contributing investments in the quarter were Canadian Western Bank, iA Financial, and Aritzia. The largest detractors were Calian Group, Pason Systems Inc. and TELUS International. Sleep Country Canada benefited from an acquisition offer by Fairfax Financial at a 28% premium to the pre-announcement price. While the offer was a reasonable one that pulls forward returns through an uncertain macroeconomic environment, it curtails returns from the compounding potential of a dominant sleep retailer.

The strategy initiated a position in TELUS International over the quarter which is a service provider of digital IT services like customer service. The franchise has improved over time by diversifying its customer mix away from parent company TELUS and diversifying its service lines away from legacy call center operations. More recently, it has faced some macro headwinds from cost cutting efforts by customers and uncertainty about the impact of artificial intelligence developments on its core digital customer service offering. It has also faced company-specific issues such as aggressive capital allocation and delayed responses to competitive pressures. This has resulted in a change of senior management and a reset in expectations, which have contributed to poor returns from the investment since our initiation. TELUS International generates ample free cash flow which will be directed to improving its balance sheet and we believe it is well positioned to benefit from a turn in the economic cycle when it comes. As such, the investment represents attractive risk/reward in our view.

Partial funding for this position came from Canadian Western Bank. Its trading discount to implied acquisition price has continued to narrow as regulatory approval risk is repriced lower.

Looking at the near-term road ahead, the US elections loom, as does the spectre of increasing geopolitical tension. Economically, consumers and corporates may start to feel the benefits of lower rates to improve financial flexibility, although the possibility of rising oil prices may introduce pressure from a cost perspective.

Amidst the veil of the unknowable future, the strategy continues to focus on diversification of economic exposures, and the capability of sound execution from company management teams. Irrespective of elections and unknowns, we anticipate continued recurring usage of basic essentials, such as insurance (Definity), food and beverages (Lassonde, Winpak), internet (Cogeco) and utility services (AltaGas). In conjunction, the strategy has exposure to attractive secular growth businesses such as in e-commerce (Cargojet), and healthcare (Andlauer, Knight Therapeutics), and advancing company-specific life cycle opportunities

(Aritzia, Richelieu). Importantly, the apparent lack of interest in smaller cap stocks, evidenced by below-average valuations in the space, reflects both a heightened margin of safety for the unexpected and a favorable risk/reward ratio.

The strategy maintains exposure to resilient, growing and reasonably priced businesses. Additionally, ~90% of holdings provide income through a 2.5% dividend yield, which is likely to demonstrate growth or be returned via share buybacks due to the robust cash generation of many holdings.

Investment manager overview

QV Investors Inc. is a Calgary-based portfolio management firm, founded in 1996, that is focused on balanced, Canadian equity, and fixed income portfolios for individuals, not-for-profit organizations, and institutional investors. QV stands for Quality and Value. The firm was founded by Leighton F. Pullen and is 100% employee owned.

Investment philosophy

In managing equities, QV believes that an emphasis on risk analysis and realistic expectations for growth are imperative. They place a large weighting on the quality of management and buy companies that demonstrate proven records, focused strategies, competitive products and services and superior financial quality. They further believe that a keen eye to value disciplines their investing. Their depth of experience, independent research, and comparative and measured analysis provides the base for high quality growth over the long term.

Investment process and risk controls

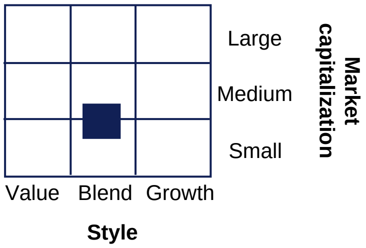
The QV uses fundamental research to identify corporate management teams who are able to sustain or improve the return on shareholder's equity and to create growth on a per share basis. In their analysis, they examine the executives' ownership, their integrity and vision, the promise of the business in a global context, the record of growth in shareholder's equity, earnings, and dividends and the corporation's financial strength, and the price paid for growth and/or assets. Their research process is internal with all managers assigned specific responsibilities and engaged in the selection and evaluation process.

Analysts meet daily to review analysis, monitor holdings, and examine the changing market and corporate fundamentals. They employ an open office environment to promote continuous communication of corporate news and developments.

Risks are governed by portfolio management and the continuous measurement of the character of the total portfolio. Specifically, they monitor the portfolio's diversification and quantitative characteristics. These include measures of financial quality, value and growth ratios, and sector and industry weightings. All of these are compared against the appropriate benchmarks. Their selections and weightings are adjusted in accordance with the prospects for economic growth and the valuations placed on the markets and securities.

QV maintains return on equity and other characteristics of the portfolio equal to or better than the character of the market as a whole and consistent with their global outlook. Such measures allow them to compare potential additions of new investment opportunities and reduce risk in aggressive markets.

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] GARP (Growth at a reasonable price)

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

[5] The benchmark is BMO Small Cap Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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